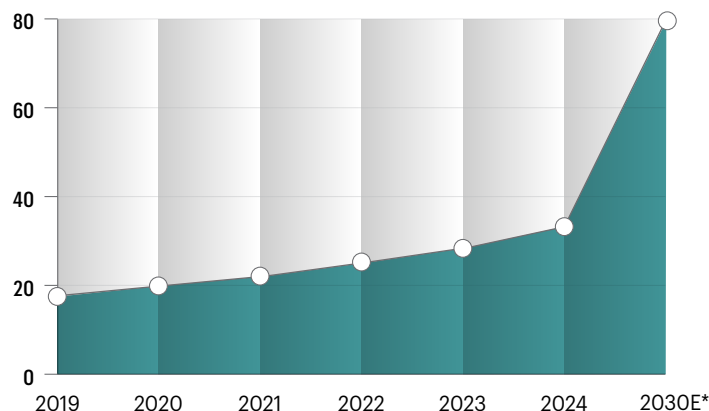


LOAN DEMAND TO PICK UP

- Housing loans to expand 15–16% annually between FY25–30
- Affordable housing is risky but promises high growth and better yields



NOTE * E IS ESTIMATED AVERAGE; FIGURES IN ₹ LAKH CRORE

SOURCE CAREEDGE

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ing shortage of approximately 10 million units in urban areas and about 20 million units nationwide (including rural areas). The renewed PMAY scheme aims to address this shortage by 2029,” says Akriti Singh, Chief Alliances Officer at India Mortgage Guarantee Corporation (IMGC). The PMAY stands for Pradhan Mantri Awas Yojana.

The huge demand, coupled with high yields, is attracting everyone, crowding the space. Affordable housing is risky but

promises high growth and better yields, one reason private equity players are lining up for a piece of action, say experts. Warburg Pincus and Sweden-based private equity firm EQT have spent huge sums to buy Shriram Housing Finance and Indostar Home Finance, respectively.

“The lending business needs regular capital for growth; some of these deals are a result of existing shareholders prioritising allocation of capital to segments where they expect margins

to be higher than affordable housing,” says Akshay Gupta, Director, Prime Securities.

The rush of capital, however, carries familiar risks. A CEO of an affordable housing company cautions that this segment is different from housing in metro cities which largely includes salaried class prime segments.

BUSINESS MODEL

Affordable housing is a high-touch model because of its focus on the economically weaker section, the low-income group, and part of the middle-income segment. In most cases, the customer is genuine, runs a business, and earns, but has little or no formal documentation to verify these activities. The nature of affordable housing—small-ticket loans, self-employed borrowers, and high-touch origination—creates exposure to documentation gaps, frauds, and process lapses.

“The fact that many borrowers lack official documentation or credit history presents another major obstacle, making it challenging to sanction loans. HFCs are tackling this with a technology-driven, minimal documents strategy that evaluates credit risk using AI, digital footprint, and alternative data. HFCs rely on available documentation, which is uploaded and stored digitally, even though these borrowers don’t use the internet much,” says Rishi Anand, MD & CEO, Aadhar Hous-

WHY THE SHIFT

- 1 As banks have access to low-cost funds, they have squeezed margins in the prime segment, pushing out HFCs



- 2 Affordable housing faces a huge shortage, with government schemes like PMAY driving demand